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Chapter 7

Accounts Receivable Overview



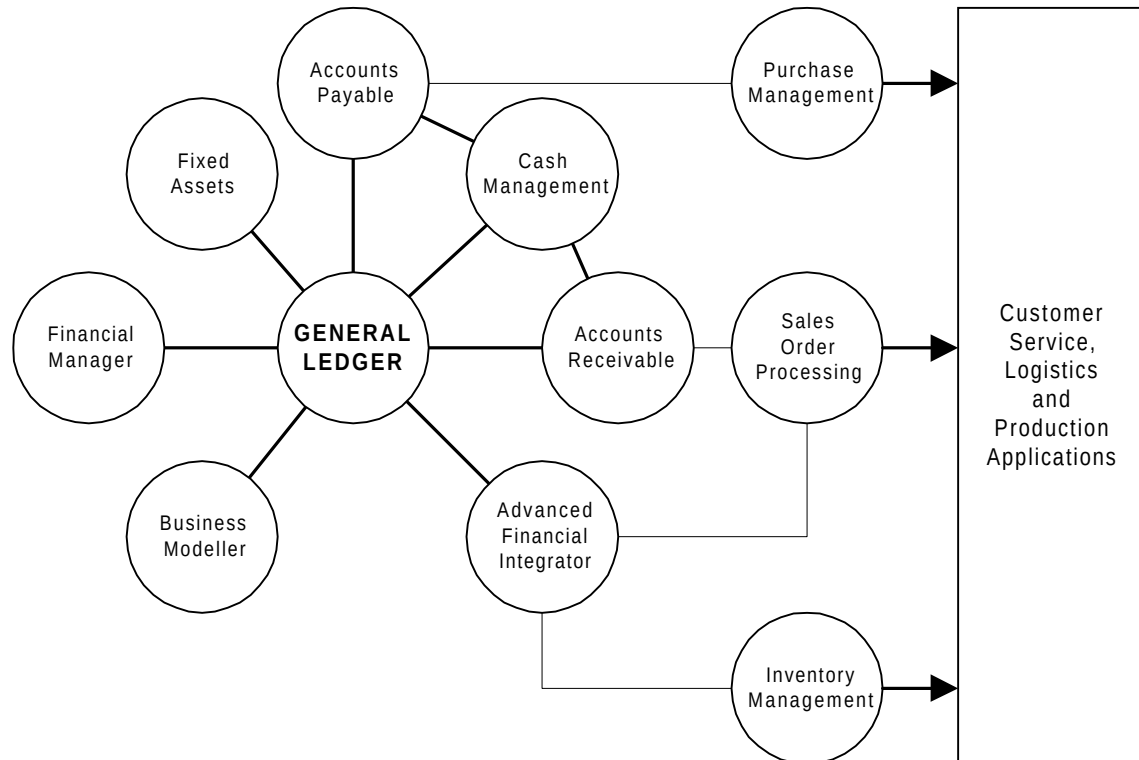
Introduction

The Accounts Receivable module maintains full details of all customer related debt, giving tighter control of working capital and improved cash management. The main features available are:

- Complete integration with other Finance, Customer Service and Logistics applications.
- Multiple companies are supported.
- The module fully supports processing in multiple currencies: transactions in any number of currencies can be posted to a single account.
- The module is designed for multi-national use, and all accounting procedures can be set to work in accordance with local accounting practices and regulations.
- Extensive free-format text, stores notes and queries for customers and transactions.
- Credit terms can be set by ledger, customer and transaction.
- Transactions can be entered manually with General Ledger analysis, or accepted from Sales Order Processing or a user module.
- Disputed invoices are identified and have special rules.
- Cash can be allocated in the currency of the transaction or in base currency.
- Allocation can be performed by invoice or period, invoice range, cash reference or invoice reference.
- A wide range of flexible enquiries and reports provide you with easy access to customer account and transaction details, including single and multiple currency accounts and transactions.

Financial Management

Broadly addressing the needs of production, distribution and financial management, the range of modules is illustrated below:



Financial Management is a suite of comprehensive and fully integrated modules which may be considered as a single financial management tool. It addresses specific business functions (such as debtor management) within a common framework. At its heart lies the General Ledger, collecting, organising and analysing all your company's financial information, with the processing of invoices and other procedures being supported by the Accounts Payable, Accounts Receivable and Cash Management modules.

This module is designed to present information which is relevant, timely and accurate to support your operational procedures and executive decisions within a framework which fully conforms to international legal and accounting requirements.

Multi-national Accounting

A company trading only within its own national boundaries may set up a very straightforward set of single-currency ledgers, where all the multi-currency features are hidden.

For the international trading company, on the other hand, the system provides full multi-currency trading and accounting features in all relevant modules. Thus you can process sales and purchase orders in any currency and hold bank accounts in any currency, with each account able to receive cash and make payments in its own or any other defined currency.

Each General Ledger company has a base currency, which is the common currency of all modules linked into it. All financial transactions, in whichever currency they are posted (known as the prime currency), are also expressed in this base currency.

Within Accounts Payable and Accounts Receivable, individual suppliers and customers may be single-currency or multi-currency. (For single-currency use, the multi-currency features are not displayed). For multi-currency customers and suppliers, you can post invoices in any valid currency, and receive or make payment in any currency. Resultant exchange gains and losses are fully accounted for. You can revalue debtor and creditor balances at any time in order to create unrealised gains and losses.

Finally, you can record ledger transactions in the prime (transaction) currency as well as in the base currency of the ledger. Translation procedures provide for the expression of base currency values in another currency, this being used primarily for reporting multi-national company results in a common currency.

Three further features enhance the multi-national capability of the system:

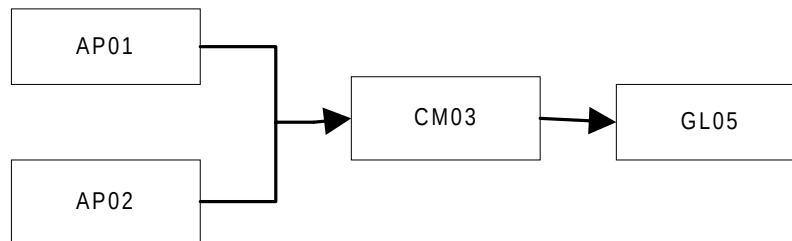
- Language Translation provides facilities for translating report text and on-line Help text into your own language.
- VAT Accounting procedures are designed to meet the accounting and reporting requirements of the various taxation authorities – and specifically those of the European Community.
- Application Parameters allow you to set up and use only those features appropriate to your needs.

Multi-company Accounting Environment

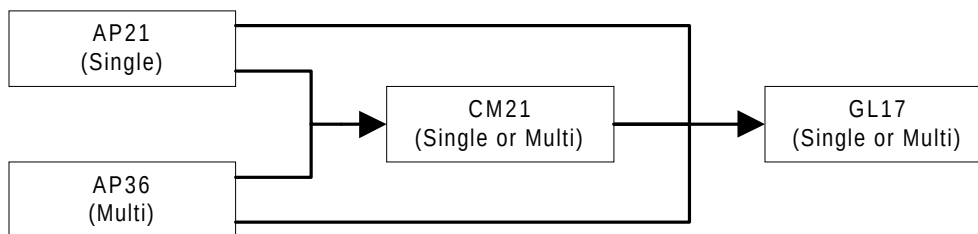
Each accounting environment is controlled by its General Ledger. Within each environment you can have multiple Accounts Payable, Accounts Receivable and Cash Management companies.

You can create two types of environment:

- Simple - This structure meets the complete accounting requirements of a company trading in its own local currency. Single currency Accounts Receivable companies link to a single currency Cash Management/General Ledger.



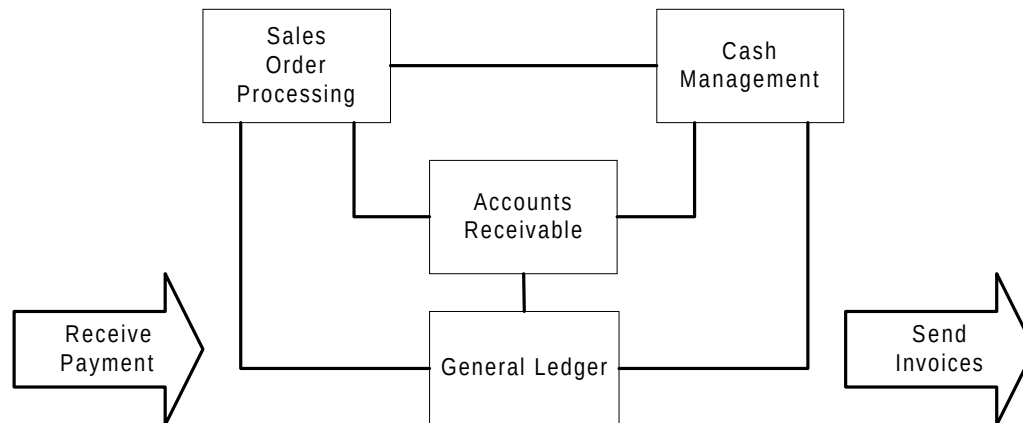
- Comprehensive - This structure is used where the company has multi-currency customers. The Receivable company, and its linked Cash Management company, must both link to the same General Ledger.



Note: Single currency and multi-currency Accounts Payable and Accounts Receivable companies can be linked to single currency or multi-currency Cash Management companies in any combination. The General Ledger company to which they are all linked can itself be single or multi-currency.

Links to Other Modules

Accounts Receivable is at its most effective when implemented as part of a full suite of modules:



Sales Order Processing manages orders from customers through to the despatch of the goods or service. If needed, it draws on the currency data held by the General Ledger.

Cash Management is used to process the actual payment from the customer. Methods of payment include cheques, automatic bank transfers and bills of exchange (now referred to as collection documents). These being held on a parameter file held within the Cash Management Maintenance menu. Multi-currency payments rely on currency data held by the General Ledger, to which appropriate journals are also posted.

General Ledger is the repository for collecting, organising and analysing all your company's financial information. It also includes multi-currency exchange rates and VAT data used by Accounts Receivable.

Standard Interface

Standard interfaces are available should you need to link data from any non-JBA module into Accounts Receivable or General Ledger.

Essentially, the external application creates work files containing the transaction in a specific format. The interface procedures then validate the transactions, post them to the Accounts Receivable and General Ledger, and produce an audit report.

Please refer to your software supplier for more information about these facilities.

Implementation

Preparing to use the Accounts Receivable module requires careful planning and preparation. Your existing Accounts Receivable procedures and data need to be transferred to the module.

You must initialise your module by entering the following basic data:

Company Profile

This is a record which contains control and parameter information for the operation of your company within the module.

Customer Accounts

You must set up the customer accounts to which transactions are to be posted. A customer record must be created for each customer. When the basic data has been created you are in a position to enter transactions.

Currency Exchange Rates

You can set up currency exchange rates, particularly if you trade with customers in currencies other than the base currency of your Accounts Receivable or General Ledger. The rates are set up in the General Ledger.

Reason Codes

You must set up codes which identify the reasons for transaction postings, in particular to the General Ledger.

Parameter File

The General Ledger contains a parameter file where values relevant to customer Accounts may be stored. Some of the values that may be held are:-

Customer Group Codes

Credit Responsibility

Sales Region

Salesman

If required these should be set up before commencing customer account maintenance.

Starting to use Accounts Receivable

When you have set up the basic data you can start using the Accounts Receivable module.

If you have an existing computer system it may be possible to commission a computer-to-computer conversion to transfer open item transactions across to the Accounts Receivable module. This is the recommended approach. However, there are the following alternative methods of transferring your existing system data.

- Use your existing accounts system to reduce existing customer account balances to nil. At the same time you can post new invoices to the module. You would probably need to operate both systems for several financial periods.
- Transfer the existing customer balances to the module as a single transaction. You will need an analysis report of the details of outstanding balances for the posting of cash and dealing with queries. Once you have transferred all the balances you should continue to operate the old system to reduce balances to nil and to validate the procedures on your new module.
- If you do not have too many outstanding transactions on your existing system you could transfer each item to the module. Bear in mind that even for a small system this can be a time consuming task. Whichever method you choose to transfer your accounts, ensure that the value held in the General Ledger control account is equal to the sum of any balances transferred to your new module.
- A computer to computer transfer of customer data can be loaded to customer accounts. JBA provides a customer master file Interface Routine and/or a file migration utility which may be used to assist the migration.

Before transferring data, careful thought should be given to the facilities available and the parameters required to initialise function. After careful thought it may be that manual keying is still the most efficient approach.

Understanding Batch Control

In contrast to session control, the batch control function is optional, and the batch control fields will be displayed only if the Accounts Receivable Company Profile is set up to run batch control.

If it is, then batch details (a batch number and a control total) are entered on the same screen as the one which begins a new session. The facility allows you to group together a set of transactions in a batch - for example, cash received in a day. You can assign a batch number which is recorded with each transaction entered within the batch, and a control total for the batch of transactions that you are entering.

When you have completed a batch the system matches the actual total of all the transactions entered against the specified batch total and any discrepancy between the two totals is highlighted.



Note: The batch control total is always entered as a hash total, particularly when transactions of various currencies are entered.

The batch total control is intended to be a check for the user, and is not enforced.

A batch, unlike a session, can be re-entered after it has been left, for the amending of entries or the addition of more items.

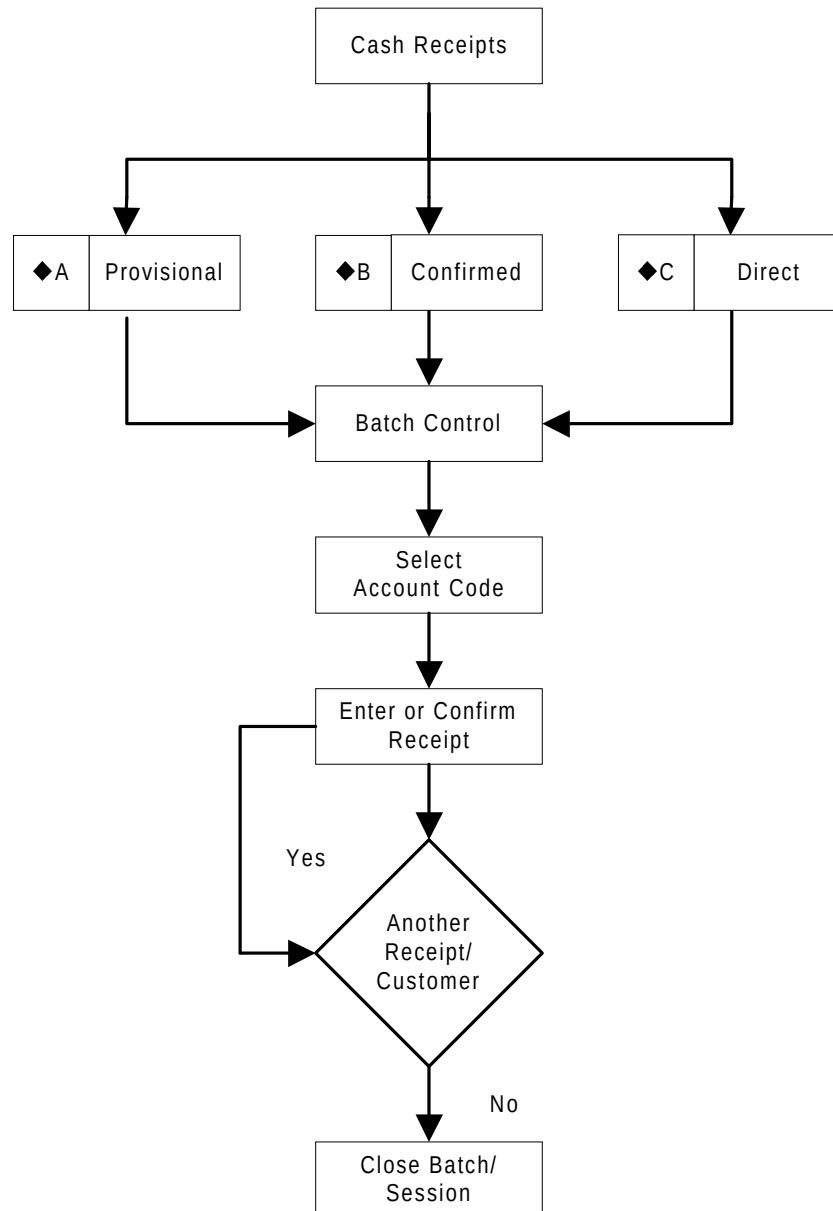
Cash Allocation

The Accounts Receivable module provides you with classic and advanced facilities to record the receipt of payments from your customers.

Payments by cheque, cash or credit transfer, EDI / Lockbox can be processed.

Payments to a Customer

It is occasionally necessary to make a payment to a customer. This is achieved by posting a negative cash amount via Direct cash. It should be noted that negative Cash cannot be entered by any other method. The following diagram illustrates the sequence of events in the allocating of cash:



Understanding Session Control

When you begin to enter confirmed or direct cash receipts, a session is started automatically, with a new session number. This session number remains with the transactions posted, and provides an important element of the audit trail.